

Accounting

1. Define Management? List Henry Foyal's 14 principles of management.

Ans:

Management: Management is the process of guiding and organizing people and resources to achieve goals effectively and efficiently.

Henri Fayol's 14 Principles of Management:

1. Division of Work
2. Authority
3. Discipline
4. Unity of Command
5. Unity of Direction
6. Subordination of Individual Interest to General Interest
7. Remuneration
8. Centralization
9. Scalar Chain
10. Order
11. Equity
12. Stability and Tenure of Personnel
13. Initiative
14. Esprit de Corps

2. What is motivation? Describe Maslow's Hierarchy of needs theory?

Ans:

Motivation: Motivation is the internal or external drive that influences and energizes an individual's behavior, actions, and efforts towards achieving specific goals.

Maslow's Hierarchy of Needs: This theory suggests that human needs are organized in a hierarchical manner, with basic physiological needs at the bottom and higher-level psychological needs at the top. The hierarchy includes:

1. Physiological Needs: These are basic survival needs like food, water, shelter, and sleep.
2. Safety Needs: These include security, safety, and stability, both physically and emotionally.
3. Love and Belongingness Needs: These involve the need for social connections, friendships, and relationships.
4. Esteem Needs: These pertain to self-esteem and the desire for respect and recognition from others.
5. Self-Actualization Needs: This is the highest level, representing the desire for personal growth, creativity, and realizing one's potential.



Figure: Maslow's Need Hierarchy Model

3.What is business? What are the features of business?

Ans:

Business:Business is an economic activity ,which is related with continuous and regular production and distribution. of goods and services for satisfying human wants.

Features of business:

1. Production of goods
- 2.sale or transfer of title.
- 3.dealing in goods and services.
- 4.regularity of dealings.
- 5.profit as reward for service rendered.
- 6.risk about future.

4.Briefly describe the advantages and disadvantages of joint stock companies.

Ans:

A joint stock company is a business organization where ownership is divided into shares or parts that can be owned by individuals or other companies. Each shareholder invests money and becomes a partial owner of the company.Advantages and disadvantages of a joint stock company are discussed below:

Advantages of Joint Stock Companies:

- 1.Limited Risk: Shareholders are only responsible for debts up to their investment.
- 2.More Funds: Can raise a lot of money by selling shares to the public.
- 3.Long Life: Keeps going even if shareholders change or die.
- 4.Easy Ownership Change: Shares can be bought and sold easily.
- 5.Expert Managers: Attracts skilled managers for better operations.

Disadvantages of Joint Stock Companies:

- 1.Complex Rules: Many rules and meetings can make things slow and complicated.
- 2.Less Control: Original owners might not have much say due to many shareholders.
- 3.Lots of Rules: Must follow many rules set by regulators, which costs time and money.
- 4.Less Privacy: Public companies must share a lot of information, losing some secrecy.
- 5.Short-Term Focus: Pressure for quick profits might hurt long-term plans.

5.Distinguish between a public limited company and private company.

Ans:

Differences between Public Limited and Private Limited Companies:

Aspect	Public Limited Company	Private Limited Company
Ownership	Owned by shareholders from the public	Owned by a small group of private individuals or entities
Number of Shareholders	Must have a minimum number of shareholders as per regulations	Limited to a maximum number of shareholders, often restricts transfers

Shares Trading	Shares are freely traded on stock exchanges	Shares are not freely traded, require approval for transfer
Disclosure Requirements	Extensive disclosure of financial and operational information	Less extensive disclosure requirements
Capital Formation	Can raise large amounts of capital from the public through IPOs	Typically raises capital from a close-knit group or private sources

6. Define industry and commerce?

Ans:

Industry: Industry refers to the process of making goods or providing services using raw materials, machines, and labor to create products that people need or want.

Commerce: Commerce involves the buying and selling of goods and services, including activities like trading, exchanging, and distributing products between businesses and consumers.

7. Briefly describe Internal environment of Business.

Ans:

The internal environment of a business refers to the conditions that exist within the organization and have a direct impact on its operations, and overall success. Key components of the internal environment include:

Employees and Workforce: The skills, motivation, and collaboration among employees play a vital role in achieving the company's goals.

Management and Leadership: The way the company is managed and led has an effect on its direction and decision-making. Effective leadership brings clear vision, efficient coordination, and strategic planning.

Organizational Culture: This refers to the shared values, beliefs, and norms that shape the behavior of employees. A positive culture can enhance employee morale, teamwork, commitment and lead to better performance .

Resources and Assets: The internal resources, such as financial capital, technology, equipment, and facilities, are crucial for the company's operations.

Structure and Processes: The organization's structure and operational processes define how tasks are assigned, information flows, and decisions are made.

Financial Performance: The financial health of the company, including revenue, expenses, and profitability, is a key indicator of its internal environment's effectiveness.

8. Describe different types of industry in brief.

Ans:

Industry: Industry is the process of collecting natural resources, converting it to raw material and through processing the raw materials finished goods are prepared for use. Industry is mainly divided into five categories.

-Genetic Industry: These are industries which are dependent upon nature and require a greater application of human skill in their production. Products produced in this industry are used for further production processes. Agriculture, forestry and dish

culture are examples of genetic industry.

Extractive Industry: In this industry natural resources are being collected from nature , such as earth , air and water with comparatively little help from man. Mining , fishing, fruit gathering etc. are some examples of extractive industries.

Construction industry: In this industry roads and highways, bridges, buildings, dams, canals, culverts, etc are constructed. The process of lying out, fitting and connecting materials which have been already prepared is involved in these industries.

Manufacturing Industry: This industry refers to the industry where labor and machinery is used to process raw material to make finished goods. Such as textile mills, spinning and weaving mills ,flour mills, the making of machinery etc.

Service enterprises: Business provides not only goods but also services. Service Industry includes those economic activities which make the general life of an individual easy and comfortable. Production and distribution of Electricity, Gas ,Banking And Health Services etc.

9.What is accounting ? Identify and describe the steps in the accounting process?

Ans:

Accounting:Accounting is a systematic process of recording, summarizing, analyzing, and reporting financial transactions and information of an organization.

The accounting process step by step:

- 1. Identification of Transactions:** This is where we spot and recognize the business activities that involve money. These could be sales, purchases, expenses,etc..
- 2. Recording Transactions:** Once we identify transactions, we record them in the accounting system. This involves documenting the details like dates, amounts whether it's money credit or debit.
- 3. Classifying Transactions:** We organize transactions into categories called accounts. Accounts might include assets , liabilities, equity, revenues and expenses.
- 4. Summarizing into Ledgers:** The recorded transactions are posted into specific accounts in a ledger. Ledgers are like categorized notebooks that show the balance in each account.
- 5. Creating Trial Balance:** We add up all the debit balances and credit balances in the ledger to make sure they match. If they don't, it could mean an error that needs to be fixed.
- 6. Adjusting Entries:** These are made at the end of an accounting period to account for things like accrued expenses or revenues that haven't been recorded yet.
- 7. Preparing Financial Statements:** Based on the adjusted trial balance, we create key financial statements like the Income Statement (shows profit or loss) and the Balance Sheet (shows assets, liabilities, and equity).
- 8. Closing Entries:** At the end of the accounting period, temporary accounts like revenue and expense accounts are closed to start fresh for the next period.
- 9. Post-Closing Trial Balance:** This is similar to the trial balance, but it only includes permanent accounts (assets, liabilities, equity) to make sure everything is in order after closing entries.
- 10. Reporting and Analysis:** The financial statements provide a clear picture of the business's financial performance and position. This information is used for decision-making, analysis, and to share with stakeholders.

10. Differentiate between fixed cost and variable cost?

Ans:

The differences between fixed costs and variable costs are as follows:

Aspect	Fixed Costs	Variable Costs
Definition	Costs that remain constant	Costs that change with production
Nature of Change	Stay the same regardless of production	Increase or decrease with activity
Examples	Rent, insurance, salaries	Raw materials, labor, utilities
Predictability	Predictable and stable	Can fluctuate and be less predictable
Impact on Profit	Spread over more units, lower per unit	Higher per unit when production rises

11. Beximco company has a unit selling price of Taka 400, variable costs per unit of Taka 260, and fixed costs of Taka 210,000. compute the break even point in units and in taka. compute the cells required in taka to earn net income of Taka 200,200.

Ans:

Given,

Unit Selling Price: Taka 400

Variable Costs per Unit: Taka 260

Fixed Costs: Taka 210,000

Net Income Desired: Taka 200,200

Contribution Margin per Unit = $400 - 260 = 140$ taka

Break Even Point (in units) = $210,000 / 140 = 1500$ units

Break Even Point (in Taka) = $1500 * 400 = 600,000$ Taka

We know,

Net Income = SALES - Total Costs

Total Costs = Fixed Costs + Variable Costs * Sales

Let,

Sales = A

now,

$A - (\text{Fixed Costs} + \text{Variable Costs} * A) = \text{Net Income}$

$A - (210,000 + 260 * A) = 200,200$

$A - 260 * A = 410,200$

$A * (1 - 260) = 410,200$

$A = 410,200 / -259$

$A \approx 1583.78$ Taka

So, to earn a net income of Taka 200,200 the company would need to achieve sales of Approximately Taka 1583.78.

Answer: Break even point in units: 1500 units

Break even point in taka: 600000 taka

Required sales: 1583.78 taka

12. What is the accounting equation ? Briefly describe liabilities and owner's equity?

Ans:

The accounting equation is the fundamental concept in accounting that shows the relationship between a company's assets, liabilities, and owner's equity. It can be stated as: $\text{Assets} = \text{Liabilities} + \text{Owner's Equity}$. This equation ensures that a company's resources (assets) are financed by either external sources (liabilities) or internal sources (owner's equity).

Liabilities: Liabilities refer to the company's obligations or debts to external parties. These obligations arise from borrowing money, purchasing goods or services on credit, or other forms of indebtedness. Common examples of liabilities include accounts payable, loans, and accrued expenses.

Owner's Equity: Owner's equity, also known as owner's capital or owner's net worth, represents the residual interest in a business after deducting its liabilities from its assets. Owner's equity can increase through investments made by the owner or profits generated by the business, and it can decrease through losses or owner withdrawals. It's a measure of the owner's financial stake in the business.

13. Barone's repair shop was started on May 1, 2022 by Nancy Barone.

A summary of May transactions is presented below .

- 1. Invested \$10,000 cash to start the repair shop.**
- 2. Purchased equipment for \$5,000 cash.**
- 3. paid \$400 cash for May office rent.**
- 4. paid \$500 cash for supplies.**
- 5. Incurred \$250 of advertising costs in the Beacon News on account.**
- 6. Received \$5,100 in cash from customers for repair service.**
- 7. withdraw \$1000 cash for personal use.**
- 8. paid part-time employee salaries \$2000.**
- 9. paid utility bills \$140.**
- 10. provided repair service on account to customers \$750.**
- 11. Collected cash of \$120 for services billed in transaction(10).**

Instructions:

a) prepare a tabular analysis of the transactions, using the following column headings: cash, Accounts Receivable, supplies, equipment, Accounts Payable, N.Barone, capital; N.Barone Drawing; Revenues and Expenses.

Ans:

Tebular Analysis for the month of May										
	Asset =				Liabilities + Owner's Equity					
Date	Cash (+)	Account Receivable (+)	Equipment (+)	Supply (+)	Account Payable (+)	Capital (+)	Revenue(+)	Expense (-)	Withdraw(-)	Explanation
1	"+\$10000"					"+\$10000"				Invenstment
2	"-\$5000"		"+\$5000"							Paid cash
3	"-\$400"							"-\$400"		Rent Expense
4	"-\$500"			"+\$500"						Paid Cash
5					"+\$250"			"-\$250"		Advertising Expense
6	"+\$5100"						"+\$5100"			Service Revinue
7	"-\$1000"								"-\$1000"	Drawings
8	"-\$2000"							"-\$2000"		Salary Expense
9	"-\$140"							"-\$140"		Utility Expense
10		"+\$750"					"+\$750"			Service Revinue
11	"+\$120"	"-\$120"								Service Revinue
Total	"+\$12310"				"+\$12310"					

b) From an analysis of the owner's equity columns, compute the owner's Equity Statement and Income statement for May,2022.Ans:Income Statemnt
For the month of May

Particular	Amount	Amount
<u>Revenues:</u>		
Service Revenue	+\$5100	
	<u>+\$ 750</u>	
		<u>\$5850</u>
Total Revenue		+\$5850
<u>Expenses:</u>		
Rent	-\$400	
Advertising	-\$250	
Salary	-\$2000	
Utility	<u>-\$140</u>	
		<u>-\$2790</u>
Net Income		\$3060
		<u><u> </u></u>

Owner's Equity Statement

Particular	Amount	Amount
Initial Capital	0	
Investment	+\$10,000	
Net Income	+\$ 3060	
		<u>+\$13,060</u>
		+\$13,060
Drawings	-\$1000	
		<u>-\$1000</u>
Owner's Equity		\$12060
		<u><u> </u></u>

14. Dr. Sayed Ahmed is a licensed dentist. During the first month of the operation of his business, the following events and transactions occurred.

April-1: Hired a secretary-receptionist at a salary of \$600 per week payable monthly.

April-2: Paid office rent for the month \$1000.

April-3: Purchased dental supplies on account from smile company \$4000.

April-10: Provided dental services and billed insurance companies \$5100.

April-11: Received \$1,000 cash advance from Laz Pharma for an implant.

April-1: Invested \$40,000 cash.

April-20: Received \$2100 cash for services completed and delivered to John Abbas.

April-30: Paid secretary-receptionist for the month \$2,400.

April-30: Paid \$1,600 to smile company for accounts payable due.

Sayed Ahmed uses the following chart of accounts: No. 101 cash, No. 112 Accounts Receivable, No. 126 supplies, No. 201 accounts payable , No. 205 unearned revenue , No. 301 Sayed Ahmed, capital; No. 400 service revenue , No. 726 salaries expense, and No. 729 rent expense.

Instructions:

a) journalize the transactions.

Ans: General Journal for the month of April:

Date	Particular Account	Debit(Dr)\$	Credit(Cr)\$
April-1	No.101 Cash(Dr) No.301 Sayed Ahmed Capital(Cr) (Invested in Cash)	\$40,000	\$40,000
April-2	No.726 salaries Expense(Dr) No.101 cash(Cr) (Payable Salary)	\$600	\$600
April-2	No.729 Rent expense(Dr) No.101 cash(Cr) (Paid Rent in Cash)	\$1000	\$1000
April-3	No.126 Supplies(Dr) No.201 Accounts payable(Cr) (Purchased Supplied on Account)	\$4000	\$4000
April-10	No.112 Accounts Receivable(Dr) No.400 Service Revenue(Cr) (Provided services on account)	\$5,100	\$5,100
April-11	No.101 Cash (Dr) No.205 Unearned Revenue(Cr) (Received Unearned Revenue)	\$1000	\$1000

April-20	No.101 Cash(Dr) No.400 Service Revenue(Cr) (Received Service Revenue)	\$2100	\$2100
April-30	No.726 Salaries Expense(Dr) No.101 Cash(Cr) (paid salary in cash)	\$2400	\$2400
April-30	No.201 Accounts Payable (Dr) NO.101 Cash(Cr) (paid due)	\$1600	\$1600

b) post to the ledger accounts(using T account).

Ans:

T Accounts

No. 101 Cash

April-1: 40000	April-2 : 600
April-11: 1000	April-2 : 1000
April-20: 2100	April-30 : 2400
	April-30 : 1600
	Ending Balance c/d <u>37500</u>
<u>43100</u>	<u>43100</u>

No. 301 Sayed Ahmed Capital

Ending Balance c/d 40000	April-1 : 40000
<u>43100</u>	<u>40000</u>

No. 726 Salaries Expenses

April-2: 600	
April-30: 2400	
<u>3000</u>	Ending Balance c/d <u>3000</u>
	<u>3000</u>

No. 729 Rent Expenses

April-2: 1000	
<u>1000</u>	Ending Balance c/d <u>1000</u>
	<u>1000</u>

No. 126 Supplies

April-3: 4000	
<u>4000</u>	Ending Balance c/d <u>4000</u>
	4000

No. 201 Account Payable

April-10: 5100	
<u>5100</u>	Ending Balance c/d <u>5100</u>
	5100

No. 112 Account Receivable

April-10: 5100	
<u>5100</u>	Ending Balance c/d <u>5100</u>
	5100

No. 400 Service Revenue

	April-10 : 5100
	April-20 : 2100
Account Balance c/d <u>7200</u>	
7200	<u>7200</u>

No. 205 Unearned Revenue

	April-11 : 1000
Ending Balance c/d <u>1000</u>	
1000	<u>1000</u>

c) Prepare a trial balance on April 30, 2022.

Ans:

Trial Balance:

Date	Particular Account	Debit	Credit
April-1	No.101 Cash account	\$37,500	
April-2	No.301 Soyed Ahmed capital		\$40000
April-2	No.726 Salaries Expense	\$3000	
April-3	No.729 Rent Expense	\$1000	
April-10	No.126 Supplies	\$4000	
April-11	No.201 Account Payable		\$2400
April-20	No.112 Account Receivable	\$5100	
Aprill-30	No.400 Service Revenue		\$7200
Aprill-30	No.205 Unearned Revenue		\$1000
Total		\$50,600	\$50,600

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